LABOUR FORCE REPORT

MORE DISGUISED THAN EMPLOYED

By Sonal Khetarpal



SKEWED AVENUES
Regular jobs (20.9%) lag behind self-employment (57.3%) and casual labour (21.8%) in India

India's growth story is one of paradoxes. While unemployment is tapering off and women's participation in the labour market is seeing an uptick, concerns over the lack of quality and productive jobs loom large—so goes the verdict of the 'India Employment Report 2024', published jointly by the Institute for Human Development (IHD) and the International Labour Organization (ILO).

'Informality' emerges as the key feature of the Indian labour market, with 81 per cent of the workforce engaged in the unorganised sector and over 90 per cent being informally employed. With the share of the jobless youth in the total unemployed populace at a staggering 82.9 per cent, the report revives fears that India may be losing out on its demographic dividend. The report also zeroes in on another paradox: women's labour force participation decreased between 2000 and 2019, but started improving thereon. On the surface, this appears promising, but, economists argue, the transition was mainly driven by a compulsion to work due to falling household incomes in rural areas. Hence, much of the increase owed to women who entered self-employment as 'own account' workers (who neither pay nor receive salaries) and unpaid family workers, especially in villages.

K.R. Shyam Sundar, labour economist and adjunct professor at MDI Gurgaon, says the global norm is that workers are not considered employed unless they earn a wage, which isn't the case in India. The data also shows a decline in women engaged in casual labour, except that it didn't translate into a proportionate increase in their participation in formal jobs. Almost 62.8 per cent of women, in fact, are employed in agriculture. Self-employment—a category whose members are classified as 'own account' workers and employers, and unpaid helpers in household enterprises—ranks among the primary forms of employment in the country, engaging 57.3 per cent of workers in 2023, followed by casual

> **"HIGH-SKILLED JOBS ARE VERY IMPORTANT FOR EDUCATED YOUTH AS THEY ASPIRE FOR BETTER QUALITY WORK"**
>
> **RAVI SRIVASTAVA,** *Director, Centre for Employment Studies, Institute for Human Development*

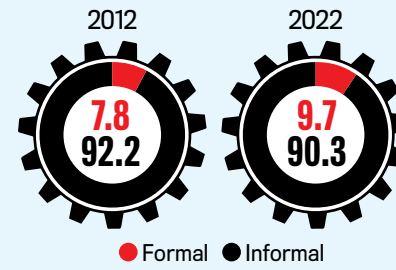
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The India Employment Report 20

INFORMAL ECONOMY

Despite improvement in the past decade, a vast majority of workforce is still engaged in the unorganised sector and informal jobs

JOB TYPE (%)



SECTOR (%)

